

SQCD-1 in brief

The record a delivered compute hour settles on.

This document is not the specification: conformance is to SQCD-1 · Settlement Quality Compute Data alone, and where the two disagree the standard governs.

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Two parties dispute a month. Each holds logs, each set is internally consistent, and neither can compel the other to accept its numbers. Six weeks later a figure is agreed on a call, and nobody writes down how it was reached.

Every clause reference below points into the standard. SQCD-1 governs the form of the record that settles delivery. Availability targets, prices, remedies and credit schedules stay in the agreement. The standard's §2 sets out why a record filed by interested parties can carry weight without anyone being disinterested.

A · Contract Standard

A1 Obligation reference — the clause the record answers to. **A2** Metric definition — the quantity, its unit, and the named function that turns samples into a period figure. Named, not described. **A3** Measurement window — start, end, offset, and the treatment of samples straddling either edge. **A4** Exclusions — each with the evidence required to invoke it. **A5** Tolerance and threshold. **A6** Materiality and the unresolved ceiling — two numbers, both fixed before the window. **A7** Remedy schedule reference — held where the evaluation cannot read it. **A8** Grade Class — the kind of compute hour, over nine dimensions: accelerator, intra-node interconnect, inter-node fabric, host, attached storage, external network, locality, tenancy, software floor. Every field valued or marked not-material. **A8.10** Verifiability tier, per field. **V1** the customer establishes by measurement, without the provider's cooperation and without a vendor key · **V2** a hardware root of trust signs it and the customer verifies against a manufacturer's chain · **V3** the customer reads it through an interface the provider operates · **V4** established by a signed statement. **Field assignments are in A8.10 of the standard**, which also states what tenancy does and does not cover. **A8.11** Every V4 field carries a required evidence class, signed before the window under the A10 digest. **A9** Substitution and netting — what may be set against what. **A10** Standard digest — one commitment over A1 through A9, carried in an event that precedes the window.

B · Measurements

B1 Channel. **B2** Samples at the recorded interval. **B3** Measured subject, at the grain the contract names. **B4** Measuring party and instrument. **B5** Clock source and stated accuracy. **B6** Aggregation applied before filing.

B7 Layer — the stratum at which the series observes.

Layer	Layer
L1 Facility	L5 Storage
L2 Host	L6 Network
L3 Accelerator	L7 Control plane
L4 Interconnect	L8 Tenant workload

The obligation names its covered layers. Whether an interval counts as delivered turns on **every covered layer at once**, and on L8 never counting against the provider (B7.2, B7.3).

B8 Minimum customer-side observation — what a customer observes to hold standing on an interval, and at what cadence (B8.2–B8.5).

C • Missing Intervals

C1 Interval. **C2** Cause, from a controlled vocabulary. **C3** Attribution. **C4** Scope, materiality and signature over C1–C4. **C5** Value assigned.

Two fractions are stated on the face of the record: the **Unresolved Fraction**, intervals no party observed, and the **Unilateral Fraction**, intervals exactly one party observed (C5.1, C5.2).

D • Provenance

D1 Filing party and signing key. **D2** Source class. **D3** Independence — whether two required sources share a trust root. **D4** Signature over the filed set, algorithm named.

E • Temporal Binding

E1 Signing time as claimed. **E2** Inclusion proof against a published log head.

F • Claim and Decision

F1 Delivery claim — units, window, standard, evidence set. It carries no verdict. **F2** Counterparty decision — accept, reject, dispute, or abstain. **This field alone produces a settled state.** **F3** Authority reference — the grant F2 was signed under, and its limits.

Where the review deadline passes with no decision filed, the case resolves as **expired** (I.1.1).

The clock

Business days after the window closes	Event
W+2	Both parties file measurements
W+5	Divergence computed; any divergence event filed
W+7	Delivery claim filed
W+12	Counterparty decision due
W+30	Correction window closes
W+45	Quantity finality
W+90	Money finality

Section I governs, including I.1.4, under which a Profile may state further recomputation passes.

The seven the parties fix, and this standard refuses to

Term	Clause
1 Materiality threshold	A6
2 Unresolved ceiling	A6
3 Required evidence class for every V4 field	A8.11
4 What expiry costs the silent party	I.1.1
5 Evidence-fault allocation, per obligation	J1
6 How a material divergence resolves to one quantity	H4
7 How a reading close to a limit is decided	7.0.2.1

Each is selected from a published set in Annex 2 before the window opens. Annex 8 lists all thirty-two terms an agreement must fix.

Completeness

§4.6 states the test: give the record to someone who was absent and holds no account on either side, and see whether the figure, the shortfall and the amount owed all come out.

The standard is **SQCD-1 · Settlement Quality Compute Data**, in this repository, with conformance vectors under `sqcd1-vectors/` and the formal model in *Verification Is Not Acceptance*.

Send a closed case and PSYCHE will reconstruct it under SQCD-1.